Many construction workers have lost their jobs and are now in deeper trouble than before, having also borrowed to buy unaffordable houses.

Bankers obviously deserve a large share of the blame for the crisis. Some of the financial sector's activities were clearly predatory, if not outright criminal. But the role that the politically induced expansion of credit played cannot be ignored; it is the main reason the usual checks and balances on financial risk-taking broke down.

Outside the United States, other governments responded differently to slowing growth in the 1990s. Some countries focused on making themselves more competitive. Fiscally conservative Germany, for example, reduced unemployment benefits even while reducing worker protections. Wages grew slowly even as productivity increased, and Germany became one of the most competitive manufacturers in the world. But some other European countries, such as Greece and Italy, had little incentive to reform, as the inflow of easy credit after their accession to the eurozone kept growth going and helped bring down unemployment. The Greek government borrowed to create high-paying but unproductive government jobs, and unemployment came down sharply. But eventually, Greece could borrow no more, and its GDP is now shrinking fast. Not all European countries in trouble relied on federal borrowing and spending. In Spain, a combination of a construction boom and spending by local governments created jobs. In Ireland, it was primarily a housing bubble that did the trick. Regardless, the common thread was that debt-fuelled growth was unsustainable.

WHAT CAN BE DONE?

Since the growth before the crisis was distorted in fundamental ways, it is hard to imagine that governments could restore demand quickly – or that doing so would be enough to get the global economy back on